



Financial Analysis of Mirpurkhas Sugar Mills Ltd (2020–2024)

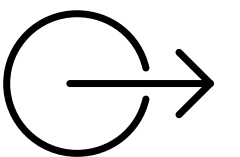
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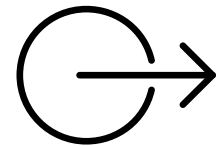
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Course: IBF

Institute of Business Administration



Introduction



Objective

- Analyze Mirpurkhas Sugar Mills Ltd's financial performance from 2020–2024.
- Use key ratios to understand the company's financial health and major trends.

Focus Areas

- Liquidity
- Asset Management
- Leverage
- Profitability
- Market Value

Why These Ratios?

- They show where MSML improved or declined over five years.
- Help identify financial weaknesses like liquidity issues, heavy debt, and low efficiency.
- Highlight changes in strategy and performance from 2020–24.

Liquidity Analysis

Quick ratio

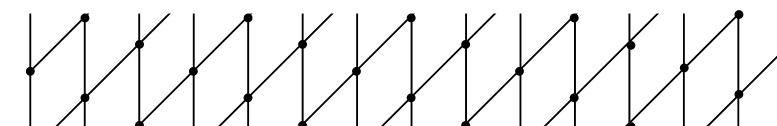
Year	2020	2021	2022	2024	2023
MSML	0.59	0.35	0.20	0.32	0.22

Current ratio

Year	2020	2021	2022	2023	2024
MSML	1.06	0.81	0.70	0.69	0.69

Interpretation:

- Current Ratio < 1 since 2022 → Liquidity crisis, dependent on short-term debt.
- Quick Ratio dangerously low (0.20–0.32) → Heavy reliance on inventory to meet obligations.
- Industry Average: Current Ratio 1.2–1.59; Quick Ratio 0.65–1.18.
- Insight: Mirpurkhas has structurally weak liquidity, exposing it to cash flow risks and higher financing costs.





Operational Efficiency Analysis

How well does Mirpurkhas convert assets and inventory into sales and cash?



01. Total Asset Turnover

- Trend: 0.73 → 0.47 → 0.87 (2024)
- Insight: Below 1 all years → inefficient overall asset use.

02. Fixed Asset Turnover

- Trend: 1.77 → 0.84 → 1.80 (2024)
- Insight: Improving but still half of industry avg. → underutilized capacity.

03. Inventory Turnover

- Trend: 5.32 → 3.37 → 4.86 (2024)
- Insight: Low vs. industry → slow stock clearance, overproduction.

04. Days Sales Outstanding

- Trend: 34 → 50 days (2024)
- Insight: 3–5× worse than industry → poor credit control, cash flow strain.

Debt Management Analysis

Total Debt to Total Capital

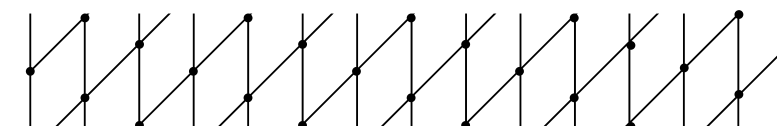
Year	2020	2021	2022	2024	2023
MSML	0.75	1.02	1.54	3.47	1.81

Times Interest Earned (TIE)

Year	2020	2021	2022	2023	2024
MSML	1.34	2.13	1.71	1.76	0.77

Interpretation:

- Debt to Capital: 0.75 → 3.47 (high leverage, negative equity)
- Times Interest Earned (TIE): Dropped to 0.77x in 2024 (inadequate coverage)
- Industry Comparison: More stable and moderate leverage



Leverage & Capital Structure Analysis

Profit Margin

Year	2020	2021	2022	2023	2024
MSML	2.50	3.63	4.21	10.79	18.56

Interpretation:

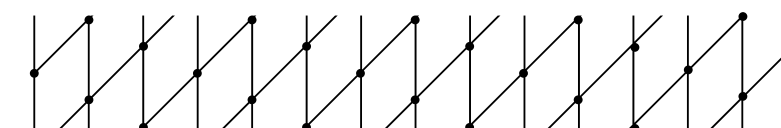
- Trend: Strong upward trajectory from 2.50% (2020) to 18.56% (2024).
- Industry Comparison: Surpassed industry average in 2024 (18.56% vs. 11.26%).
- Interpretation: improved ability to convert revenue into net profit indicating cost control, pricing strategy, or operational improvements.

Return On Equity

Year	2020	2021	2022	2023	2024
MSML	4.07%	4.35%	6.54%	4.35%	4.07%

Interpretation:

- Trend: Volatile; peaked at 6.54% (2022), then declined to 4.07% (2024).
- Industry Comparison: Consistently below industry average (which ranged from 1-19%).
- Interpretation: Brief peak in 2022 followed by erosion. Current 4.07% returns indicate minimal shareholder value creation despite recent operational improvements.



Leverage & Capital Structure Analysis

Return on Invested Capital (ROIC)

Year	2020	2021	2022	2024	2023
MSML	2.25%	3.62%	3.22%	3.06%	15.76%

Interpretation:

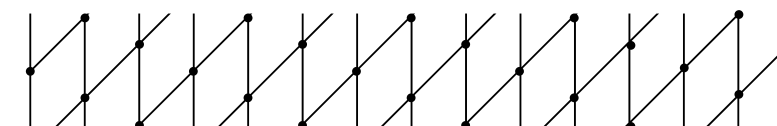
- Trend: Unstable; peak in 2023 (15.76%), drop to 3.06% (2024).
- Industry Comparison: Consistently below industry average.
- Interpretation: Inefficient use of capital, low returns on invested funds suggesting strategic or operational misalignment.

Basic Earning Power (BEP)

Year	2020	2021	2022	2023	2024
MSML	2.25%	3.57%	2.83%	9.16%	1.81%

Interpretation:

- Trend: Low and volatile; highest 9.16% (2023), fell to 1.81% (2024).
- Industry Comparison: Below industry every year.
- Interpretation: Weak operating income generation from total assets indicates poor asset utilization or high operating costs.



Leverage & Capital Structure Analysis

Return on Assets (ROA)

Year	2020	2021	2022	2024	2023
MSML	3.63	1.99	2.27	16.09	6.98

Interpretation:

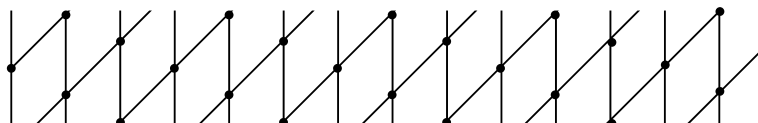
- Trend: Rising from 3.63 (2020) to 16.09 (2024).
- Industry Comparison: Significantly higher than industry in recent years.
- Interpretation: Strong returns from asset base indicating effective asset use or high profitability relative to assets.

Operating Margin

Year	2020	2021	2022	2023	2024
MSML	3.09%	7.16%	5.99%	16.28%	2.08%

Interpretation:

- Trend: Peaked at 16.28% (2023), dropped sharply to 2.08% (2024).
- Industry Comparison: In line with industry in 2023, but far below in 2024.
- Interpretation: Inconsistent operational efficiency. High volatility suggests poor cost management or demand instability.



Market Performance Indicators

01. Price to Earnings

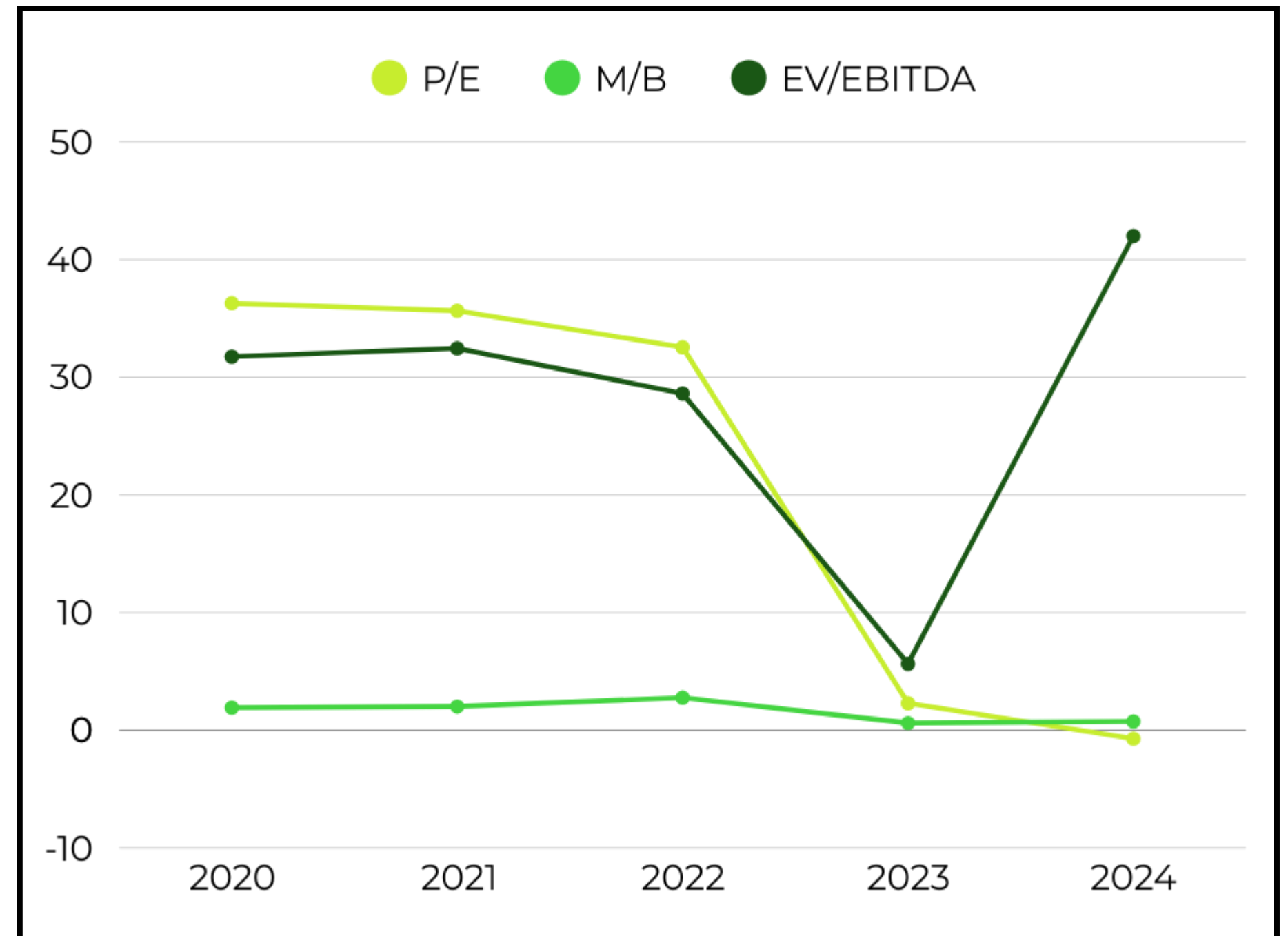
- Trend: Collapsed from premium to negative (2020–2024)
- Meaning: Market shifted from over-optimism to pricing in bankruptcy risk despite profit growth.

02. Market to Book

- Trend: Rose from below 1 to 1.92 (2024).
- Meaning: Market sentiment improved from undervaluation to growth optimism.

03. EV/EBITDA

- Trend: Increased but remained volatile.
- Meaning: Operating performance improved, but valuation remains sensitive to market and operational shifts.



Conclusion



Liquidity remains weak

Liquidity remains consistently weak, with both Current and Quick ratios far below industry → strong short-term financing pressure.

Efficiency ratios show low efficiency

The company takes too long to sell products and collect money, so cash stays stuck in inventory and receivables instead of coming back into the business (cash blockage and weak operational control-CCC high driven by high inventory days.)

Leverage high → rising financial risk

The company is borrowing more money and relying heavily on debt, which increases its risk and makes it harder to operate without loans.

Conclusion



TIE ratio below 1 in later years

TIE ratio below 1 means the company is not earning enough to pay its interest, so it may face financial trouble.

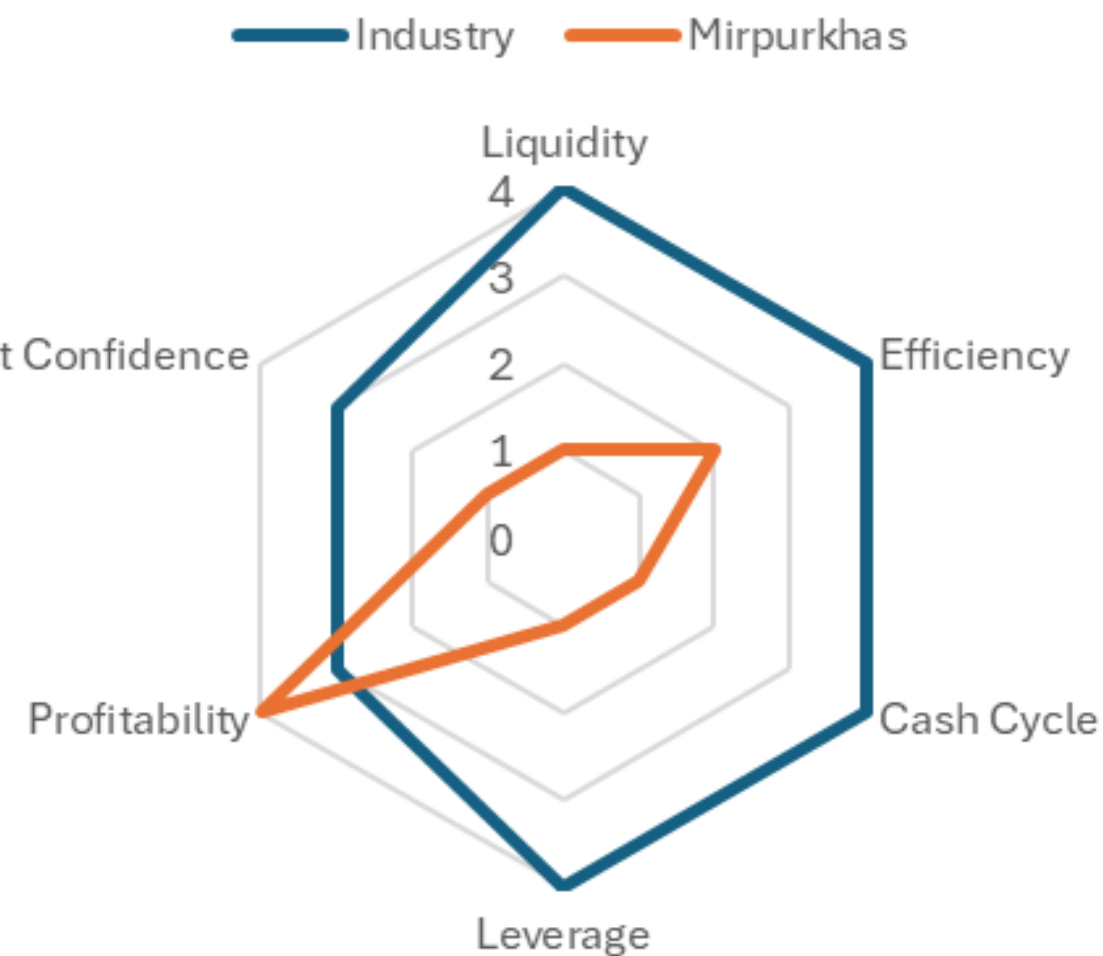
Profitability improved but volatile and inconsistent

The company's profits increased, but the profit levels fluctuated a lot and were not stable or predictable. ROA, ROE, and ROIC show unstable returns showing inconsistent operational efficiency.

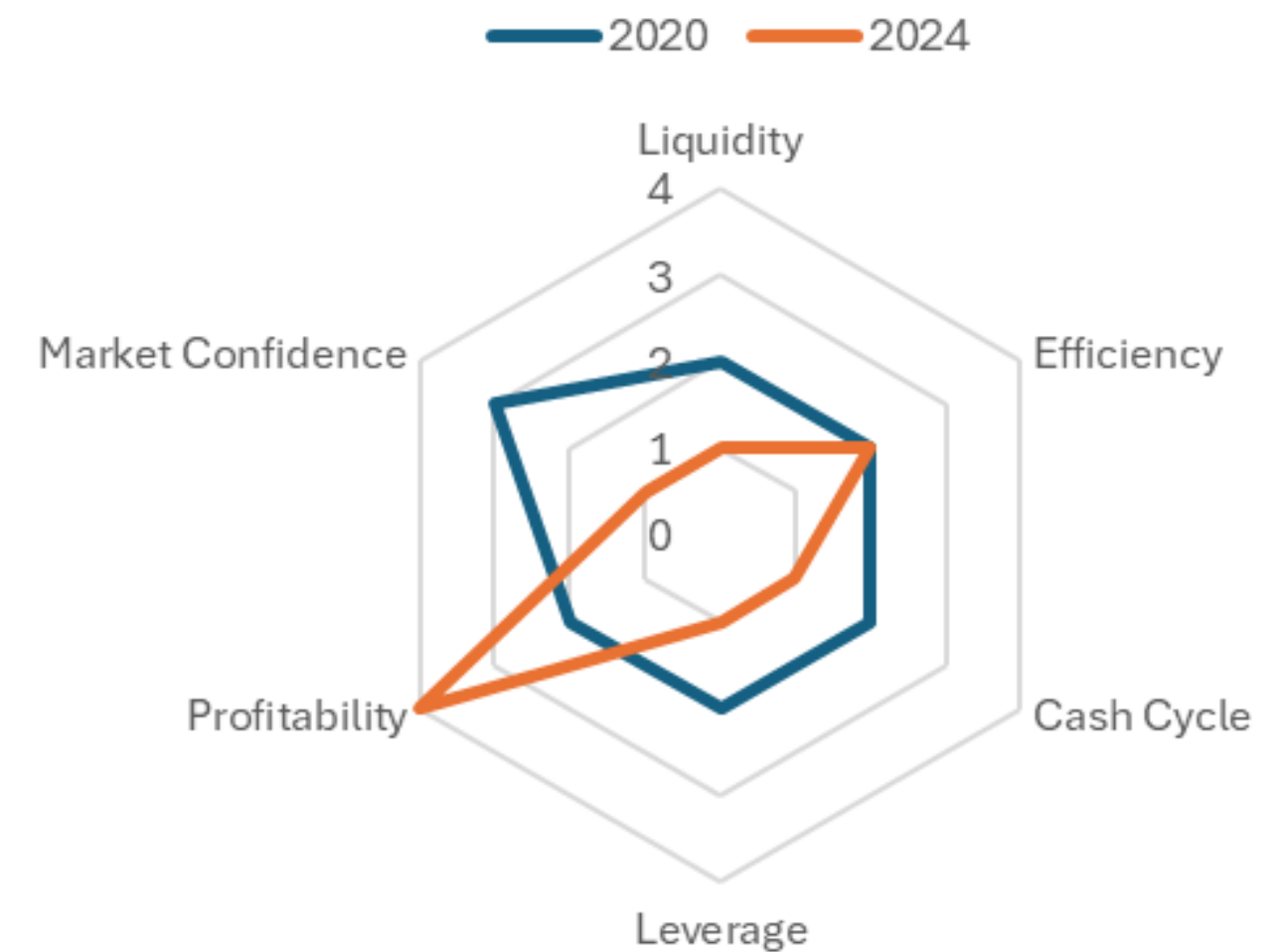
Market perception weak; no dividends

Market ratios (P/E, M/B, EV/EBITDA) show weak investor confidence, with valuation only improving briefly. Company also does not pay any dividends making it less appealing.

Mirpurkhas VS Industry (2024)



Mirpurkhas (2020 VS 2024)



Scoring Logic

- 5 = Excellent performance
- 1 = Very weak performance

Key Takeaways

STRENGTHS

Recent Growth in profit reaching 18.56% in 2024, surpassing the industry average (11.26%).

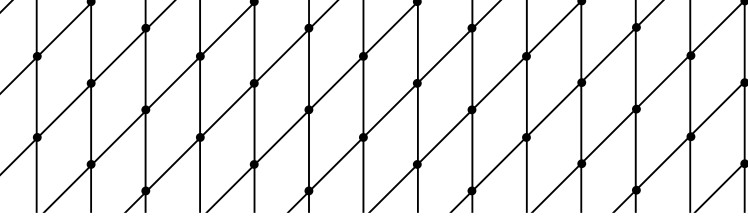
Rising ROA from 3.63 (2020) to 16.09 (2024) showing strong returns from its asset base.

WEAKNESSES

Structural weaknesses in liquidity, efficiency, debt burden, and cash cycle remain unresolved.

ACTIONS

For sustainable improvement, MSML must tighten working capital, reduce debt, and improve asset utilization.



Thank You

For Your Attention

